MFANO BANK

A fictional bank for a portfolio project

INTERNAL CIRCULAR

Collateral documentation

Reference	CIR-CRD-22
Version	2
Status	Live
Effective date	2025-10-01
Owner	Credit
Approved by	Chief Credit Officer
Classification	Internal

This document is fictional. It does not describe the procedures of any real bank.

Document control

What changed in version 2: Valuation reports for land and buildings must be less than 24 months old at approval.

Version history

Version	Effective date	Change
1	2022-01-01	First issue
2	2025-10-01	Valuation reports must be less than 24 months old

Approval and distribution

Approved by the Chief Credit Officer. Owned by Credit. Distributed to all branches through the intranet. Printed copies are not controlled; always check the intranet for the current version.

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1. Purpose

This circular sets out how branch staff document, register, store and release loan collateral.

2. Scope

This circular covers land and buildings, motor vehicles, cash cover and guarantees.

3. Definitions

- **Collateral:** an asset pledged to secure a loan.
- **Charge:** the legal registration of the bank's interest in the collateral.
- **Approved valuer:** a valuer on the bank's approved panel.
- **Loss payee:** the party paid by the insurer if the asset is lost or damaged.

4. Roles and responsibilities

- **Relationship officer:** collects collateral documents and arranges valuation.
- **Credit administration:** registers charges, checks insurance and keeps original documents.
- **Branch manager:** approves collateral release with credit administration.

5. Procedure

5.1 Acceptable collateral

Land and buildings with a title deed, motor vehicles with a registration card, cash cover held in the bank, and guarantees from acceptable guarantors.

5.2 Valuation

Land and buildings are valued by an approved valuer. The valuation report must be less than 24 months old at approval.

5.3 Registration of the charge

Credit administration registers the bank's charge with the relevant registry before disbursement.

5.4 Insurance

Collateral is insured with the bank named as loss payee. Credit administration keeps a copy of the policy and tracks renewals.

5.5 Custody of original documents [MANDATORY CONTROL]

Original title deeds and registration cards are kept in the fire-proof safe under dual control. Every movement in or out is recorded in the security register.

5.6 Release of collateral [MANDATORY CONTROL]

Collateral is released only after full repayment is confirmed by credit administration and the release is approved by the branch manager. Originals are handed only to the customer, against signature.

6. Exceptions and escalation

- **Collateral in another person's name:** the owner must sign a third-party charge with independent legal advice.
- **Lost original document:** report to the branch manager and Legal the same day.

7. Records and retention

Collateral documents: until the loan is repaid and the security released, plus 10 years. Records are kept in the branch file room or the document management system and destroyed only under the bank's records retention schedule. Records that are part of an open complaint, dispute, audit or investigation are kept until it is closed.

8. Monitoring and quality assurance

Back office quality assurance reviews a sample of files every month against this circular and reports exceptions to the branch manager and to Credit. Repeated exceptions at a branch are reported to the Head of Branch Operations. Internal audit may review compliance with this circular at any time.

9. Related documents

- CIR-CRD-21 Loan origination checklist

Appendix A: Frequently asked questions

Q1. How old can a valuation report be?

Less than 24 months old at approval.

Q2. Who keeps the original title deed?

Credit administration, in the fire-proof safe under dual control.